MONTANA SILVERSMITHS

#1 Sterling Lane
Columbus, Montana 59019

CLOSING DATE
October 28, 2016

PURCHASE PRICE
$9,000,000*

AAVIN INVESTMENT
$3,000,000

TTM REVENUE
$25,400,000

TTM EBITDA
$1,830,000

TTM EBITDA MARGIN
7.2%

STAGE/TRANSACTION TYPE
Buyout

GEOGRAPHY
Mountain (MT, ID, WY, NV, UT, CO, AZ, NM)

INDUSTRY
NAICS Code 339910, Jewelry and Silverware Manufacturing

REFERRAL SOURCE
Diamond States Ventures

RECOMMENDING DIRECTORS
Kevin Mullane and James Thorp

*Purchase price includes the real estate appraised at $3.4 Million

AAVIN
PRIVATE EQUITY

INVESTMENT SUMMARY

BUSINESS SUMMARY

Montana Silversmiths ("Montana" or the "Company") is the largest supplier of western jewelry, watches, and buckles. It is one of the most recognizable brands in the western lifestyles industry. The Company is located in Columbus, Montana and has been in business for over forty years. Montana sells its products through western and agricultural retailers, including large chains and small independents. It also promotes and sells its products through event sponsorships, promotional outlets, and a growing online presence. Montana is the buckle manufacturer of choice for many western events and related associations.

FINANCING

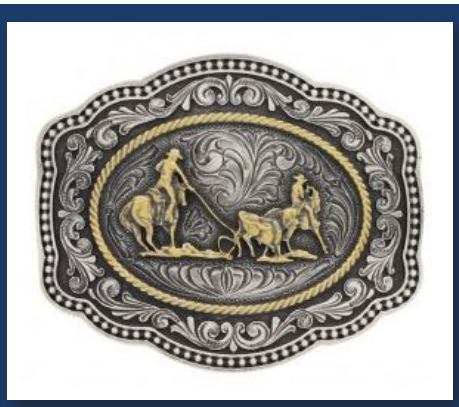
The transaction was led by StoneCreek Capital, who acted as the equity sponsor, and included AAVIN (AMF and AEP II), Diamond States Ventures, and MidStates Capital. The total purchase price for Montana was $9 Million and included the real estate appraised at $3.4 Million.

MONTANA®
SILVERSMITHS

AAVIN INVESTMENT

Aavin invested a total of $3,000,000 in this transaction. $1,750,000 is in subordinated debt that has a 13% current yield and 4% PIK interest. Aavin recieved a 3% fee on the subordinated debt at close. $750,000 of the investment is in equity securities with an 8% preferred return. $500,000 is in a senior note which is expected to be repaid in 60 days by the senior lender. The note has a 10% interest rate and a 1% repayment fee.

	Subordinated Debt	Preferred Equity	Senior Note	Total Investment	Ownership %
AEP II	$1,445,189	$216,750	$144,500	$722,500	6.13%
AMF	3,554,811	533,250	355,500	1,777,500	15.07
TOTAL	$1,750,000	$750,000	$500,000	$2,500,000	21.2%

MANAGMENT

Montana has a seasoned management team that is remaining with the Company post-close. The management team is pursuing an expanded growth strategy in e-commerce as well as further expansion across fashion networks and retail.